

FLUENCE ENERGY INC FLNC S

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by

bluewater12

			2026	2027
Price:	15.50	EPS	-0.10	0.21
Shares Out. (in M):	189	P/E		
Market Cap (in \$M):	2,930	P/FCF		
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	2,930	TEV/EBIT		
Borrow Cost:	General Collateral			

Description

Summary

Fluence Energy (FLNC) is a short because it is a battery systems integrator masquerading as a technology company. Fluence does not manufacture batteries, produce inverters, or own energy assets. It buys components, assembles them, marks them up and ships them. This business model was viable a decade ago when battery manufacturers only sold cells, but it is not viable today. The battery manufacturers have moved up the value chain and now sell complete turnkey systems directly to end customers at prices 15-30% below what Fluence can offer. Fluence is a middleman in a market that no longer needs one.

Short Thesis History

Blue Orca Capital first published a short report on FLNC on February 22, 2024, highlighting three core issues: (1) an undisclosed lawsuit by Siemens Energy's U.S. affiliate accusing Fluence of breach of contract, material misrepresentation, and fraud; (2) aggressive revenue recognition and selectively applied earnings adjustments that Blue Orca estimated inflated LTM sales growth and gross margins; and (3) a coming "tidal wave" of dilution as Siemens and AES divested their stakes and Fluence burned cash without parental financial support.

In August 2024, Fluence disclosed that the SEC had opened a formal investigation into its financial reporting, prompted by the Blue Orca allegations. The stock hit an all-time low of \$3.46 in April 2025. What followed was a speculative rally driven by AI infrastructure hype that took the stock above \$33 in January 2026 before the Q1 FY2026 margin collapse brought it back below \$15. The structural problems Blue Orca identified two years ago- margin fragility, parent divestiture risk, and accounting credibility - are even stronger today.

The System Integrator Model Is Structurally Impaired

If you wanted to build a grid-scale battery storage project a decade ago you had no choice but to use a systems integrator. Battery companies like LG, Panasonic, and Samsung only sold cells. So someone had to buy the cells, source inverters and HVAC systems, build the container, install the battery management system (BMS) and energy management system (EMS), and wire it all together. Fluence, formed as a joint venture between Siemens and AES in 2018, was built to fill this role.

That market no longer exists. Every major battery manufacturer now sells complete, integrated systems. BYD, CATL, LG Energy Solution, and Samsung SDI all provide the cell, container, inverter, HVAC, BMS, and EMS as a single package, delivered directly to the customer with warranties and degradation guarantees. Tesla does the same through its Megapack product line. The customer can plug the system into a patch panel and have a grid connection company like GE, ABB, or Hitachi take it from there. The SI layer has been largely disintermediated.

Of the last 50 major battery storage projects announced or under integration in Europe, industry participants estimate that ~95% went direct to battery manufacturers, bypassing systems integrators entirely. Fluence is aware of this dynamic and its attempt to pivot toward battery manufacturing is an acknowledgment that the SI model is dying. But pivoting into manufacturing means competing head-to-head with BYD and CATL, companies that have spent two decades building scale, have full government backing, and are targeting cell costs to continue to decline dramatically (more below). Neither Siemens nor AES has committed to Fluence the billions of dollars required to compete at that scale and Fluence certainly doesn't have the cash on its balance sheet.

Pricing: Structurally Uncompetitive

Fluence operates on a cost-plus model. It buys batteries from a manufacturer, adds its margin for integration and software, and sells the complete system. Industry participants with direct procurement experience report the following pricing dynamics:

Fluence is 15-20% more expensive than buying a complete system directly from LG, Samsung, or similar non-Chinese manufacturers. Fluence is approximately 30% more expensive than BYD, which manufactures every component in-house. Fluence is 10-20% more expensive than Tesla's Megapack, which is also vertically integrated. At the cell level specifically, one industry source estimated Fluence pays roughly \$100/kWh for LFP cells, compared to approximately \$80 for Tesla (which has a strategic relationship with CATL). Chinese LFP cell prices have already fallen below \$55/kWh at wholesale, with CATL's sodium-ion platform targeting further reductions that could push cell costs toward \$40/kWh. At those levels, a cost-plus integrator's margin dollars approach zero. Numbers from industry participants vary widely but what's clear is that Fluence's profit pool is a mark up on top of direct competitors with deflationary pricing.

As such, this cost disadvantage is not fixable within the current business model. Battery costs have fallen dramatically over the past decade. Fluence's early 2026 stock price rally was supported by the perception that battery prices had stabilized and rebounded. But any recovery in battery prices is short-lived. The long-term deflation from Chinese batteries is crippling, even with tariffs stacked on top of it. As the raw product deflates, the absolute dollar value of Fluence's markup shrinks with it, compressing margins even if the percentage markup stays constant.

Fluence's Backlog

Fluence's \$5.5 billion backlog is real, but misleading in composition. According to industry participants, Fluence's backlog consists overwhelmingly of smaller projects. No major utility has engaged Fluence to build a multi-gigawatt site. Customers who use Fluence today are primarily unsophisticated developers who have land and a grid connection but lack the expertise or relationships to deal directly with a BYD or Tesla. Fluence wins these customers by being responsive and providing hand-holding through the process. Tesla, by contrast, has a massive pipeline and is harder to deal with for smaller developers.

As the market matures and the process of procuring battery storage becomes standardized and simplified, the knowledge gap that Fluence fills will continue to shrink. Ten years ago, deploying a battery system required deep expertise in cell chemistry, state of charge management, degradation modeling, and thermal engineering. Today, a container arrives with all of that embedded.

Software was pitched as a differentiator when Fluence went public. It promoted its Fluence IQ / Nispera software as a differentiator and a path to higher-margin recurring revenue. Industry participants who have evaluated the software describe it as a rebranded version of NEC's energy management software, which Fluence acquired. Every major battery manufacturer now provides its own BMS and EMS as part of the integrated system. The software was innovative eight years ago. There is nothing Fluence's software does that the major battery companies do not also offer.

FLNC also likes to point to ARR as if it were some high margin recurring software segment, but a former Fluence VP of Strategy confirmed in a January 2026 industry interview that the \$148 million FY2025 ARR figure bundles software subscriptions with long-term service agreement (LTSA) revenue and extended warranties — it is not pure software revenue. This is similar to the game STEM tried to play by obfuscating hosting and maintenance service revenue as "software" until the market woke up and the stock went down 95%.

AI Infrastructure Hype a Mirage

FLNC's strong stock performance has been driven by excitement about battery storage as a play on AI infrastructure buildout. But this narrative misses how hyperscalers actually procure energy. According to an industry participant, OpenAI's Stargate facility in southwest Texas runs on six 250 MW gas turbines with a 125 MW Tesla battery used solely for frequency modulation, less than 10% of the facility's 1.5 GW generation capacity.

Google, Amazon, and Microsoft are technology-agnostic buyers driven entirely by lowest cost of energy. At current storage costs, hyper-scalers are not likely to be buying large-scale battery storage if they can avoid it. They have indicated they will become interested when costs fall a further 50 to 90% on a kWh basis. Even if that threshold is reached, Fluence would be competing for those contracts against BYD, CATL, and Tesla, all of whom can deliver at lower cost.

A former Fluence VP of Strategy estimated in a Jan26 industry interview that hyperscalers would account for only 10-20% of battery storage spending, with independent power producers capturing 60-70% and utilities 20-30%. The company's own former executive does not see data centers as a meaningful demand driver for its products.

Siemens, AES, and the Ownership Overhang

Siemens and AES each hold ~28% of Fluence (Siemens through a combination of direct holdings and SPT Holding Sarl). Qatar Holding owns an additional 8%, leaving 36% of shares in the float. Blue Orca documented that Siemens Energy's U.S. affiliate had sued Fluence for breach of contract, material misrepresentation, and fraud, undisclosed to investors. The SEC opened a formal investigation into Fluence's financial reporting in August 2024, which remains ongoing.

AES announced on March 2, 2026 that it will be taken private by a consortium led by BlackRock's Global Infrastructure Partners and EQT Infrastructure for \$15/share (\$10.7 billion market cap / \$33.4 billion TEV). The deal is expected to close in late 2026 or early 2027. Some bulls have argued that BlackRock ownership of AES could make Fluence a preferred provider across BlackRock's portfolio companies. This is not likely to be how BlackRock operates. Its portfolio companies compete independently. The more likely outcome is that new PE owners, focused on capital efficiency and managing AES's more than \$20 billion debt load will view the Fluence stake as a non-core asset to monetize.

Neither Siemens nor AES has committed meaningful additional capital to Fluence. Siemens first sold shares in December 2023 and had previously converted all its Class B-1 shares to tradeable Class A shares in mid-2022. AES also began divesting in late 2023, recording a \$136 million gain on sale of Fluence shares that year. If Fluence's vertical integration strategy required billions in investment, neither parent has signaled willingness to fund it. If the stock were truly a compelling asset at ~\$3 billion in market cap with \$5.5 billion in backlog, an acquirer would have emerged. None has.

Financial Overview - Cracks Forming

FLNC's Q1 FY2026 earnings report was a turning point: after eight quarters of gross margins ranging between 10% and mid-teens, they collapsed to 5.6%. Fluence had negative \$236 million FCF in the quarter, but FCF is volatile due to working capital changes. Adjusted EBITDA loss was worse than Q1 2025 despite a 154% increase in revenue thanks to the gross margin pressure. Management attributed the margin miss to \$20 million in cost overruns on two international projects and typical Q1 seasonality. They claim they will recover the overrun costs from customers under contract terms. The full-year EBITDA guide of \$40-60 million requires generating \$92-112 million in adjusted EBITDA across the remaining three quarters after losing \$52 million in Q1 2026 - a level of profitability the company has never achieved.

Fluence has missed or lowered guidance for three years in a row. In 2025, management started the year guiding to ~\$4b of sales and ~\$180mm of EBITDA. They delivered \$2.3b and \$19mm, respectively. At a ~\$3 billion in market cap, FLNC is pricing in a growth trajectory and margin expansion story that the fundamentals do not support.

Example of Customer Feedback

Industry executive: "We are contemplating tens of gigawatts of orders for projects being built over the next three years, and Fluence never comes up because when you look at true technology development speed, they're irrelevant. We are making twenty year investments, and we don't see how Fluence exists ten years from now because they can't compete on price,

they can't compete on innovation, and their competitors are all verticalized. And they've pissed off many of their potential customers by trying to use anti-China scare tactics to make themselves relevant to the marketplace."

Summary

FLNC is a structural disadvantaged battery systems integrator. The company is unlikely to be a beneficiary of the AI boom. FLNC has a ~\$3b cap but is unlikely to ever be profitable. Guidance is too optimistic, cracks are already showing in the financials, and the fundamentals are unlikely to inflect given their challenged market position. FLNC has over 90% downside still.

Risks to the Short

- Tight float. Only 66 million shares (36% of total) are in the public float. 19.7 million shares are short - 11% of shares outstanding but 30% of the public float.
- Tariff protection. If the U.S. imposes severe enough tariffs on Chinese battery imports, Fluence's domestic content strategy could become temporarily competitive. However, roughly half of Fluence's cell supply for FY2026 is imported, so tariffs would hurt Fluence's own cost structure as well.
- A large contract win. A single multi-gigawatt contract from a major utility or hyperscaler would change the narrative. This has not happened in the company's history, but it cannot be ruled out.
- IRA / domestic content credits. To the extent that the Inflation Reduction Act's domestic content provisions remain intact, Fluence's U.S. manufacturing footprint could provide a subsidy-driven advantage. However, the political durability of these credits is uncertain.

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Catalyst

Continued missing of guidance and bullish expectations.

Messages

Subject earnings thoughts
Entry 05/07/2026 05:43 PM
Member dannny
 wondering how you reassess the thesis with the 2 hyperscaler MSAs, esp. on backlog quality.

 mgmt also says that the intensity of the market itself is offsetting the vertical integration risk (at least in the near-term), curious when you think that might turn.

 thanks!

Subject Selling shareholders
Entry 05/12/2026 10:04 PM
Member casper719
 20M S3-ASR only 20M traded today so should have more to come in and volume should continue to decline from the recent spike as normal volume only abotu 4M shares